

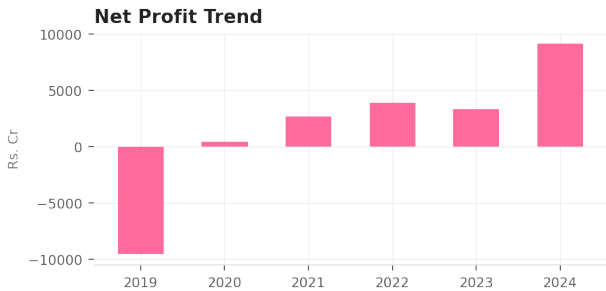
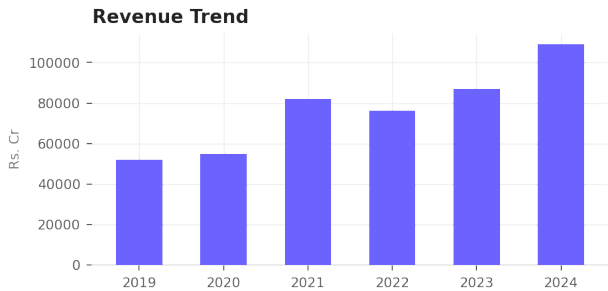
Punjab National Bank

PNB | Financials - Public Sector Banks | Large Cap

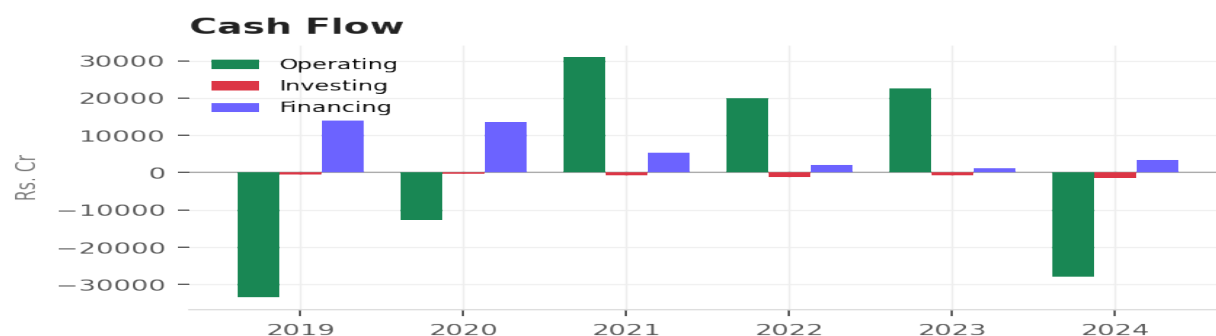
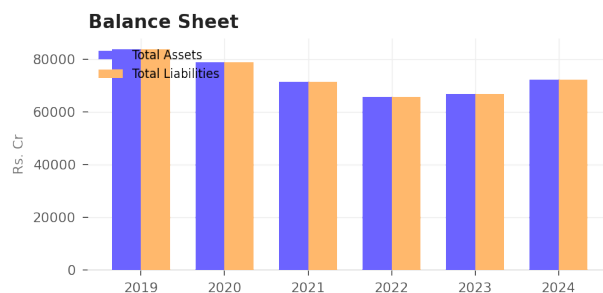
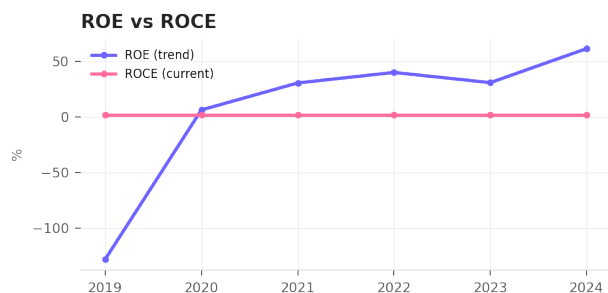
61.3%	1.6%	3.68x	19.3x	1.3%	25/100
ROE	ROCE	Debt/Equity	P/E	Div. Yield	Quality Score

CAPITAL ALLOCATION: GROWTH FUNDED BY DEBT

Operating cash flow is negative; growth is being funded through debt.



Punjab National Bank - Financial Trends



Cons

- Company carries a high debt-to-equity ratio of 3.68. (98% confidence)
- Company's cash generation lags reported profits (CFO/PAT of -1.92x), an accrual risk. (98% confidence)
- Company's cash flow pattern (Growth Funded by Debt) signals capital allocation stress. (80% confidence)
- Company scores poorly on the composite quality framework (25/100). (79% confidence)
- Company reported negative free cash flow in the latest year. (75% confidence)
- Stock is trading at a rich 10.91 times its book value. (69% confidence)

Pros

- + Company has a strong return on equity of 61.3%. (98% confidence)
- + Company runs an asset-light business with low capital expenditure needs. (82% confidence)